

planner, you then need to craft a plan. You need to determine your priorities, whether they involve retirement, college education, home ownership (not just the cost of buying a home, but owning a home), clothing, furniture, electronics, or cars. The goal is to fund each of the determined priorities and then let the magic of compound interest take care of funding the rest. Fill in the following chart to discover your priorities:

Order of Importance	Spending Priorities
1.	
2.	
3.	
4.	
5.	
6.	
7.	

Whatever you determine to be your main funding areas, you should try and stick to the plan. When you deviate from your set route, you can easily become distracted and find it hard to get back on track. This chart should be posted in a common location, such as a refrigerator or bathroom mirror, where you will constantly be reminded of your priorities. The more you can actually observe your goal, the greater your chance of succeeding.

If my friend, Ken, had followed this advice he could have visited a financial planner instead of acting rashly. Together, they could have worked out a plan to deal with Ken's new-found wealth. Without a plan, the danger of spending large sums of money quickly is ever present. A smart plan would have allocated some money for Ken's priorities and some for an emergency savings account. The plan would have put the majority of his inheritance in investment funds specifically designated for his retirement. This would have ensured that Ken would not run out of money before he retired. Since no

